

from a bank are secured loans, to protect the lender in case of default. If a borrower can't offer any security, the bank may still agree to lend money, but will charge a much higher rate of interest, because of the greater risk involved. Lenders can, in fact, make more profit by taking higher risks, such as on unsecured loans, or loans to individuals or companies who can't prove that they'll be able to continue making their repayments.

**IF YOU OWE YOUR BANK A HUNDRED  
POUNDS, YOU HAVE A PROBLEM.  
BUT IF YOU OWE A MILLION, IT HAS.**

**JOHN MAYNARD KEYNES**

### **Footing the bill**

Sometimes, banks make bad decisions, and gambles on risky loans don't pay off. Some have lost money. But in addition to lending money, they are looking after money that's been deposited with them, and the depositors would suffer if the bank went bust. To stop this, a central bank may step in to bail out a failing bank using public money. This may seem unfair because the bank can make a lot of money if things go well, but doesn't have to pay if things go wrong. This is called "moral hazard," which US economist Paul Krugman describes as when "one person makes the decision about how much risk to take, while someone else bears the cost if things go badly."